UPFRONT

ECO WATCH: TRANSLOCATING PREY ANIMALS *PG 9*

GRAPHIC: NAVI MUMBAI AIRPORT *PG 10*

▶ CURRENCY

TAKING THE RUPEE GLOBAL

RBI's latest measures aim to boost the INR's role in international trade and finance, but challenges lie ahead

By M.G. ARUN

THE INDIAN RUPEE IS STEPPING ONTO THE GLOBAL STAGE. The Reserve Bank of India's intentions are clear: on October 1, following the monetary policy announcement, governor Sanjay Malhotra unveiled fresh measures to promote wider use of the rupee in international trade, cross-border investments and financial transactions. These steps are part of the central bank's strategy to gradually internationalise the currency.

The goal is to reduce reliance on dominant foreign currencies such as the US dollar. The RBI's latest announcements also need to be seen in the context of the BRICS nations' push to lessen their dependence on the dollar—a move that US President Donald Trump has been resisting, even threatening trade penalties against countries pursuing such efforts.

Malhotra has put forward three measures to globalise the rupee. First, authorised dealer banks will now be permitted to extend loans in rupees to non-residents from Bhutan, Nepal and Sri Lanka

Illustration by RAJ VERMA